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Saudi Arabia Ministerial Decision No. 929/1447 On the Approval of the Implementing Regulation of the Financial Oversight Law

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Table of contents

Title 1 - General Provisions *(art. 1 - 1)* 3
Title 2 - Financial Oversight Methods *(art. 2 - 19)* 3
Chapter 1 - General Provisions *(art. 2 - 4)* 3
Chapter 2 - Direct Oversight *(art. 5 - 5)* 4
Chapter 3 - Internal Oversight *(art. 6 - 12)* 4
Chapter 4 - Digital (Technological) Oversight *(art. 13 - 14)* 6
Chapter 5 - Reporting Oversight *(art. 15 - 19)* 7
Title 3 - The Responsibility of the Entity Subject to Financial Oversight *(art. 20 - 22)* 9
Chapter 1 - General Provisions *(art. 20 - 21)* 9
Chapter 2 - Duties of the Entity's Representative *(art. 22 - 22)* 9
Title 4 - Supervisory Authorities *(art. 23 - 23)* 10
Chapter 1 - Cooperation with Supervisory Authorities *(art. 23 - 23)* 10
Title 5 - Financial Controllers *(art. 24 - 28)* 10
Chapter 1 - General Provisions *(art. 24 - 24)* 10
Chapter 2 - Responsibilities and Rights of Financial Controllers *(art. 25 - 27)* 10
Chapter 3 - Rewards of Financial Controllers *(art. 28 - 28)* 11
Title 6 - Violations and Penalties *(art. 29 - 30)* 11
Chapter 1 - General Provisions *(art. 29 - 30)* 11
Title 7 - Final Provisions *(art. 31 - 33)* 12

The Minister of Finance,

Based on the powers conferred upon him by law;

Based on Saudi Arabia Royal Decree No. M122/1447 dated 10/6/1447H., on the Approval of the Financial Oversight Law; and

Based on Article (27) of the Financial Oversight Law, which stipulates that: "The Minister shall issue the Regulation within one hundred and twenty (120) days from the date of publication of the Law in the Official Gazette, and it shall come into force from the date of entry into force of the Law. The Minister may issue implementing decisions, instructions, manuals, and necessary forms for the implementation of the Law".

Decides the following:

First: The Implementing Regulation of the Financial Oversight Law is hereby approved in the form attached to this Decision.

Second: This Regulation shall be published in the Official Gazette and shall come into force from the date of entry into effect of the Law.

With God's Blessings,

Mohammed bin Abdullah Al-Jadaan

Minister of Finance

The present Decision was published in Umm Al-Qura Gazette, Issue No. 5154, dated 25/10/1447 H., page 1.

Title 1 - General Provisions

Article 1

1. For the purposes of implementing the provisions of the Regulation, a "support, donation, or aid" shall mean any transfer, whether in cash or in-kind, from the State Treasury to an Entity to strengthen its resources, enable it to perform its functions, or support a specific activity.
2. The Entities subject to Financial Oversight referred to in subparagraph (2)(a) of Article (3) of the Law shall include the following:

    a- Entities that receive direct support, donation, or aid from the State Treasury through the Ministry.

    b- Entities that receive direct support, donation, or aid from the State Treasury through a Government Entity.

Title 2 - Financial Oversight Methods

Chapter 1 - General Provisions

Article 2

1. In determining the appropriate Financial Oversight methods applicable to an Entity, the Ministry shall take into account the following criteria:

    a- The classification of the Entity in accordance with Article (3) of the Law, whereby all oversight methods may be applied to a Government Entity, provided that Reporting Oversight is limited to the Entity that is subject to the Law in accordance with paragraph (2) of Article (3) of the Law.

    b- The nature and size of the Government Entity, having regard to its activities, the volume of financing it receives, and its organisational structure.

    c- The extent of the efficiency and effectiveness of the Internal Control Systems within the Government Entity, based on the results of the assessment carried out by Financial Controllers in accordance with the framework set out in Article (6) of this Regulation.

    d- The automated connection of the Government Entity to any Government Resource Systems, whereby all Government Entities shall be subject to Digital (Technological) Oversight where they are automatically connected to such Government Resource Systems.

    e- Any other criteria specified by the Ministry.

2. Multiple oversight methods may be applied to a Government Entity in accordance with the following controls:

    a- All Government Entities shall be subject to Digital (Technological) Oversight where they are automatically connected to any Government Resource Systems, in addition to the oversight method specified for the Government Entity in accordance with the criteria specified above.

    b- A Government Entity shall be subject to both Internal Oversight and Direct Oversight simultaneously where Internal Oversight is applied partially to that Government Entity.

    c- A Government Entity may be subject to Reporting Oversight in respect of some of its activities, in addition to any other Financial Oversight methods, in accordance with the oversight coverage achieved through the remaining oversight methods.

3. The Ministry shall, as necessary, review and develop its internal controls and procedures -whether manual or automated, relating to the implementation of Financial Oversight methods.

Article 3

1. Government Entities may correspond with the Ministry to submit an application for the assessment of their readiness to transition to the Internal Oversight method, whether in part or in whole, after completing the self-assessment process in accordance with the forms issued by the Ministry.
2. The Ministry may review the results of the self-assessment and respond as to whether the Government Entity may be included among the Government Entities that will be evaluated for transition to the Internal Oversight method within a period not exceeding sixty (60) working days from the date of such correspondence with the Ministry.

Article 4

When the Ministry develops Corrective Actions with the Entity, the priority for implementing such Actions shall be determined jointly, based on the potential impact arising from weaknesses in Oversight Controls.

Chapter 2 - Direct Oversight

Article 5

Where Direct Oversight is applied, the financial representative shall, in accordance with the scope of the assignment issued thereto, exercise oversight over the Government Entity, subject to the following controls:

1. Exercising oversight over procedures and operations with financial impact, and ensuring compliance with applicable laws, regulations, and instructions, including the following:

    a- Reviewing disbursement and payment orders and ensuring that all supporting expenditure documents are attached.

    b- Overseeing revenue operations.

    c- Reviewing the monthly statements and the final accounts of the Entity.

    d- Reviewing the adjustment authorisations.

    e- Ensuring that imprests and trust accounts are periodically settled in accordance with applicable laws and instructions, and that no amounts are retained by the Government Entity without justification.

    f- Ensuring that the Entity implements the statutory instructions prescribed in subparagraph (2)(b) of Article (8) of the Law.

    g- Tasks relating to assessing the extent of compliance of the Government Entity with the instructions relating to financial statements and the application of the accrual basis of accounting, in accordance with the tasks assigned to the financial representative.

    h- Any other tasks assigned to the financial representative, to the extent they are not inconsistent with the provisions of the Law or the competencies of the Supervisory Authorities.
2. The tasks and powers prescribed in committees established in accordance with applicable Laws, regulations, and instructions.
3. Cooperating with the Government Entity -upon its request- in relation to the implementation of its financial affairs by providing technical opinions and advice, without prejudice to his independence or limiting his ability to perform his functions related to the exercise of Direct Oversight. The Government Entity shall assess the suitability of the technical opinions and advice provided and take such action as it deems appropriate in relation thereto.

Chapter 3 - Internal Oversight

Article 6

1. The implementation of Internal Oversight within the Government Entity aims to strengthen the principles of accountability and responsibility within the Government Entity, and to enhance the efficiency and effectiveness of the control system therein.
2. The Ministry shall develop a framework for assessing the extent of the efficiency and effectiveness of Internal Control Systems, Information Systems with financial impact, and governance procedures applied to such Systems within the Government Entity, for the purpose of assessing its readiness to transition to the Internal Oversight method, whether in part or in whole, without prejudice to the competencies of the Supervisory Authorities.
3. The framework referred to in paragraph (2) of this Article shall include the following components:

    a- Assessing the quality of the operations and activities of the relevant oversight departments within the Government Entity, including: internal audit, risk management, governance, and compliance monitoring, and

verifying compliance with applicable laws, regulations, and instructions, without prejudice to the competencies of Supervisory Authorities.

b- Assessing the General Information Technology Oversight Controls over Information Systems with financial impact used within the Entity, and the governance procedures applied to such systems, including but not limited to: the governance of the allocation of roles and powers within systems, change management, disaster recovery, information security, and cybersecurity.

c- Assessing the extent of compliance with instructions issued by legislative authorities relating to the operations of Information Systems with financial impact.

d- Assessing the efficiency of the processes of operations with financial impact subject to oversight, including: employee compensation and rewards, expenditure and the effects of contract execution, procurement methods, bid examination, settlement accounts, monthly schedules, final accounts, and financial statements.

4. The Ministry shall, in accordance with the framework referred to in paragraph (2) of this Article, issue a report setting out the corrective plans to be implemented to achieve the required level of efficiency and effectiveness of the oversight system within the Government Entity, for the purpose of transitioning to the Internal Oversight method, whether in whole or in part.
5. The Ministry shall assess the impact of the Government Entity's implementation of the corrective plans set out in the preceding paragraph on its readiness to transition to the Internal Oversight method and shall take the necessary measures in accordance with its competencies.
6. The Government Entity shall be transitioned to the Internal Oversight method based on achieving the required level of efficiency and effectiveness of its Internal Control Systems, as follows:

a- in whole, covering all processes with financial impact subject to oversight referred to in subparagraph (3)(d) of this Article.

b- in part, covering some processes with financial impact subject to oversight referred to in subparagraph (3)(d) of this Article.

Article 7

1. At the commencement of the assessment phase of the Government Entity's readiness to transition to the Internal Oversight method, the Ministry shall sign a work charter with the Government Entity that will apply this method, for the purpose of governing the relationship between the Ministry and the Government Entity.
2. The Charter shall include, but not be limited to, the following:

a- The mechanism and stages for assessing the level of efficiency and effectiveness of the Internal Control Systems.

b- The mechanism for the escalation of issues and obstacles.

c- The powers and responsibilities of both parties.

d- Any other aspects specified by the Ministry.

Article 8

1. When a Government Entity is transitioned to the Internal Oversight method, whether in whole or in part, an agreement for the transfer of responsibilities shall be concluded between the Minister or his delegate and the competent Minister or the senior officer of the Government Entity or his delegate.
2. At the commencement of the implementation of the Internal Oversight method, the Ministry shall notify the Supervisory Authorities and the entities responsible for regulating and operating Government Resource Systems of the transfer of statutory requirements assigned to the financial representative, as set out in applicable laws, regulations, and instructions, to the Government Entity.
3. The Ministry shall provide the Government Entity that is to be transitioned to the Internal Oversight method, whether in whole or in part, with the necessary guidelines to be followed during the transitional stage from Direct Oversight to Internal Oversight.
4. During the transitional stage, the Ministry shall be entitled to seek the assistance of the financial representative to ensure the soundness and suitability of the Oversight Controls applied by the Government Entity upon the transfer of responsibilities thereto.

Article 9

1. Upon the implementation of Internal Oversight, the Ministry shall be entitled to assess the following operations and activities within the oversight departments of the Government Entity, and to develop and update them as necessary, without prejudice to the competencies of the Supervisory Authorities:

a- The strategy and governance of the oversight departments within the Government Entity.

b- The availability of competencies and resources for the implementation of oversight operations.

c- The mechanisms and methodologies adopted for the implementation of oversight operations.

d- Referral of reports and escalation mechanisms.

e- The quality programmes applied within the oversight departments.

Article 10

Upon the full implementation of Internal Oversight, the Government Entity shall ensure that all statutory requirements assigned to the financial representative, as set out in applicable laws, regulations, and instructions, are fulfilled in accordance with the directives of the competent Minister or the senior officer of the Government Entity, provided that this does not conflict with the provisions of the laws governing such Government Entities.

Article 11

1. The Ministry shall determine the Oversight Controls and indicators to be examined periodically during compliance monitoring activities, at least annually or as necessary.
2. The Ministry shall have the right to request the reports issued by the oversight departments during periodic compliance monitoring activities in order to assess the suitability of continuing the application of the Internal Oversight method, without prejudice to the competencies of Supervisory Authorities.
3. Where repeated observations arise during the monitoring of the Government Entity's compliance with the indicators and controls, the Ministry may reapply Direct Oversight to that Government Entity.
4. Where Direct Oversight method is reapplied to a Government Entity, the Ministry shall notify the Supervisory Authorities and the entities responsible for regulating and operating Government Resource Systems that the statutory requirements assigned to the Government Entity, as set out in applicable laws, regulations, and instructions, are to be transferred back to the financial representative.
5. Upon the reapplication of the Direct Oversight method, the Ministry shall notify the Government Entity accordingly, in accordance with the channels and procedures in force at the Ministry.

Article 12

1. The Ministry shall issue the following reports to the Government Entity for the purpose of commencing or continuing the application of Internal Oversight within the Government Entity:

   a- An assessment report on the efficiency and effectiveness of the Internal Control System within the Government Entity, indicating whether a Government Entity subject to Direct Oversight may apply Internal Oversight, whether wholly or partially.

   b- An assessment report on the extent of the Government Entity's compliance, where Internal Oversight is applied, with the Oversight Controls and indicators specified by the Ministry, for the purpose of assessing the efficiency and effectiveness of the elements of Internal Control Systems and Information Systems with financial impact.
2. The reports shall contain at least the following elements:

   c- The objective and scope of the assessment, the responsibility of the Government Entity, and the key parameters for the implementation of the assessment process, if any.

   d- The assessment mechanism and its outcomes in accordance with the framework referred to in paragraph (2) of Article (6) of this Regulation.

   e- Corrective plans, including improvement plans addressing weaknesses in the Internal Control System within the Government Entity, and the requirements specified by the Ministry for transitioning the Government Entity to the Internal Oversight method, whether in whole or in part.
3. The Ministry shall discuss the reports with the relevant departments and agree on them before sharing them with the representative of the Government Entity for review and for the provision of the necessary support to ensure the implementation of corrective plans within the agreed timeframe.
4. The Government Entity shall implement the agreed corrective plans and submit proof of implementation of such plans within the specified timeframes.

Chapter 4 - Digital (Technological) Oversight

Article 13

1. During the implementation of Article (12) of the Law, the Ministry shall carry out the following activities, including but not limited to:

   a- Examining general controls and application controls of Government Resource Systems.

b- Determining the financial indicators to be used for analysing and monitoring financial data issued by Government Resource Systems.

c- Monitoring and analysing data issued by Government Resource Systems, in accordance with the priorities determined under the Ministry's internal procedures for monitoring financial indicators.

d- Recommending the establishment of automated Oversight Controls within the Government Resource Systems.

2. Entities responsible for regulating and operating Government Resource Systems shall support the Ministry during the implementation of Article (12) of the Law by carrying out the following activities, including but not limited to:

a- Enabling the Ministry to access all reports relating to Entities subject to Financial Oversight issued by Government Resource Systems.

b- Developing the necessary digital reports and dashboards to enable Financial Controllers to carry out ongoing oversight operations.

c- Performing joint tasks with the Ministry, where necessary.

3. The Ministry and the entities responsible for regulating and operating Government Resource Systems shall sign memoranda of cooperation to govern the relationship between them, specify the areas of cooperation in supervisory activities, and set out the mechanisms for cooperation in implementing the activities referred to in the preceding paragraphs.

Article 14

1. In the course of implementing Digital (Technological) Oversight, the Ministry shall issue the following reports:

a- A report to the entities responsible for regulating and operating Government Resource Systems, summarising the results of testing general controls and application controls of Government Resources Systems within the Government Entities.

b- A report to each Government Entity, summarising the results of the analysis of financial statements generated by Government Resource Systems, based on the approved financial indicators.

2. The reports shall contain the following elements:

a- The objective and scope of the oversight engagement, the responsibility of the Government Entity, and the key parameters for the implementation of the oversight process, if any.

b- The findings of the oversight engagement.

c- Corrective plans, which may include such requirements as may be specified by the Ministry.

d- The agreed procedures and stages of the corrective plans, their implementation timeframe, the intended outcomes for each stage, and the results achieved at each stage.

e- The observations arising from the analysis of financial data of Government Entities.

3. The Ministry shall issue a report on the testing of general controls and application controls of Government Resource Systems to the relevant Government Entity and/or the entity responsible for regulating and operating Government Resource Systems, according to the type of the observation, in order to take the appropriate actions.

4. The Ministry shall share the results of the analysis of financial data of the Government Entities associated with Government Resource Systems with other departments within the Ministry responsible for implementing Financial Oversight methods, in order to assess the need to take any additional measures in the course of their activities.

Chapter 5 - Reporting Oversight

Article 15

The Ministry shall exercise Reporting Oversight over the Entities referred to in Paragraph (2) of Article (3) of the Law, with the limits of the amounts and activities related to the provisions of that paragraph implemented after the entry into effect of the Law. The Ministry shall have the right to extend the scope of its oversight to periods prior to that date where it is not feasible for the Ministry to carry out its functions otherwise, or where indicators arise requiring such extension to safeguard and protect public funds.

Article 16

1. Government Entities shall notify the Ministry, in accordance with the channels and procedures in force within the Government Entity, immediately upon carrying out any of the following:

a- The disbursement of direct support, donation, or aid from the State Treasury to an Entity.

b- Entering into contracts with an Entity to execute works, procurements, or to collect public revenues of the State on its behalf.

2. The Entities referred to in paragraph (2) of Article (3) of the Law shall periodically share with the Ministry financial and oversight reports relating to all their activities subject to the Financial Oversight specified in the Law, in accordance with the requirements and forms issued by the Ministry.
3. The Ministry may request the Entity to provide financial reports reviewed by a certified accountant licensed to practise the profession.
4. The Ministry may exercise Financial Oversight activities over the Entities referred to in paragraph (2) of Article (3) of the Law on a periodic and ongoing basis, until the following is achieved:

    a- Termination of the disbursement of all direct support, donation, or aid from the State Treasury.

    b- Acceptance of works or procurements executed on behalf of the Government Entity and payment of the corresponding dues.

    c- Remittance of all public revenues due to the State and collected on behalf of a Government Entity.

Article 17

1. The Ministry shall, in coordination with the Government Entity, sign an agreement with the Entities subject to Financial Oversight under the provisions of this Article, for the purpose of governing the relationship with such Entity and specifying the requirements, forms, and mechanisms for sharing financial and oversight reports with the Ministry.
2. The agreement referred to in the preceding paragraph shall be signed as follows:

    a- directly between the Ministry and the Entity, where the Entity receives direct support, donation, or aid from the Ministry; or

    b- between the Ministry, the Government Entity and the Entity, where the Entity receives direct support, donation, or aid from the Government Entity, or where the Government Entity enters into a direct contract with the Entity to execute works or collect public revenues of the State on its behalf.
3. Without prejudice to the provisions of the Law, the requirements referred to in paragraph (1) of this Article shall include any of the following, commensurate with the reason for which the Entity is subject to the provisions of the Law and the Regulation:

    a- The aspects of disbursement and the intended objectives of such support, its disbursement mechanisms, and the periodicity of sharing reports with the Ministry regarding the amounts disbursed from the funds received, in order to verify the efficiency of their use and the extent of compliance with applicable laws, regulations, and instructions.

    b- The works or procurements to be executed on behalf of the Government Entity, and any parameters for the execution of such works and procurements, the mechanism for disbursement of the associated amounts, and the periodicity of sharing reports with the Ministry regarding the amounts disbursed from the funds received, in order to verify the efficiency of their use and the extent of compliance with the signed agreements and applicable laws, regulations, and instructions.

    c- The public revenues of the State to be collected, the parameters governing their collection, and the periodicity and mechanism for remittance of such collected revenues to the State Treasury, as well as the periodic submission of reports to the Ministry regarding the revenues collected, in order to verify the completeness of the amounts collected and their timely remittance to the Treasury, and the extent of compliance with applicable laws, regulations, and instructions.

Article 18

In exercising Reporting Oversight over support, donation, or aid amounts, the Ministry shall undertake the following:

a- Verifying the fulfilment of statutory disbursement justifications within the Entities subject to Financial Oversight.

b- Verifying that disbursements recorded in financial reports have been duly effected on the basis of approved statutory justifications.

c- Verifying the Entity's compliance with the disbursement of support, donation, or aid amounts, in accordance with the disbursement aspects and intended objectives.

In exercising Reporting Oversight over works or procurements executed on behalf of the Government Entity, the Ministry shall undertake the following:

a- Verifying the Entity's compliance with its procurement and execution policies and procedures, provided that such policies and procedures do not conflict with applicable laws, regulations, and instructions.

b- Verifying that the details of purchase orders correspond to the approved supporting documents in terms of quantity, value, and specifications.

c- Verifying the extent to which service providers or contractors comply with the delivery of works or services in accordance with the concluded agreements.

d- Submitting evidence of acceptance by the requesting Entities of works or services duly executed.

In exercising Reporting Oversight over revenues collected on behalf of the Government Entity and remitted to the State Treasury, the Ministry shall undertake the following:

a- Verifying that the Entity has remitted the collected revenues to the State Treasury within the specified timeframe, in accordance with the State Revenue Law.

b- Verifying that the financial balances recorded by the Government Entity correspond to those declared by the Entities collecting such revenues.

c- Verifying that the Entities collecting the revenues remit the full amounts collected to the Government Entity without any deductions, in accordance with the State Revenue Law.

Article 19

1. The Ministry shall review the financial and oversight reports, together with any documents or data relevant thereto, received from the Entity, and shall issue a report setting out the results of the review process.
2. The content of the reports issued by the Ministry shall vary in a manner commensurate with the volume of amounts and the nature of works by reason of which the Entity is subject to the provisions of the Law and the Regulation in accordance with paragraph (2) of Article (3) of the Law. The Ministry may, in agreement with the Entity, determine the content of such reports, the timing of their issuance, and the mechanisms for their issuance.
3. The Ministry shall discuss the reports with the relevant parties within the Entity and agree on them before sharing them with the Entity's representative for review, and for the provision of the necessary support to ensure the implementation of corrective plans within the agreed timeframes.
4. The Government Entity shall implement the agreed corrective plans and submit proof of implementation of such plans within the specified timeframes.

Title 3 - The Responsibility of the Entity Subject to Financial Oversight

Chapter 1 - General Provisions

Article 20

The Entity shall be responsible for the soundness and effectiveness of its approved Oversight Controls, and for the accuracy and integrity of all information, including documents, records, data, and reports submitted to Financial Controllers.

Article 21

1. Without prejudice to the provisions of the Law and this Regulation, where there is a difference of opinion between the Entity subject to Financial Oversight and the Financial Controllers regarding the implementation of the provisions of the Law or this Regulation, or the conduct of Financial Oversight activities, the Entity may submit its position, supported by documents and records (if any), to the Ministry for consideration and objective examination within thirty (30) working days from the date of the Entity's correspondence with the Ministry.
2. Where no decision is issued within the period referred to in the aforementioned paragraph, the Ministry shall notify the Entity of any additional extension period.

Chapter 2 - Duties of the Entity's Representative

Article 22

1. The Entity shall assign one of its employees, who has knowledge of applicable laws, regulations, and instructions, to act as its representative (the "Entity's Representative") for coordination with the Financial Controllers, and shall be responsible for the following:

a- Providing all necessary facilities to enable the Financial Controllers to discharge their functions easily and accurately, including providing an appropriate working environment and granting access to all documents, records, Information Systems, and reports supporting them in the performance of their duties as specified in the Law and this Regulation.

b- Providing support and continuously following up with the relevant departments within the Entity to ensure the implementation of corrective plans within the agreed timeframe.

c- Performing any other duties agreed upon with the Ministry.

Title 4 - Supervisory Authorities

Chapter 1 - Cooperation with Supervisory Authorities

Article 23

1. The Ministry shall cooperate with Supervisory Authorities by all means that contribute to the protection and safeguarding of public funds. To this end, any of the following coordination mechanisms and joint actions may be activated, including but not limited to:
    - Discussing common supervisory matters, including the outcomes of the implementation of applicable laws, regulations, and instructions, and taking any necessary measures to support the implementation of any related decisions.
    - Developing a joint framework and methodology between the Ministry and Supervisory Authorities, aimed at strengthening the integration and coherence of roles in the exercise of their respective competencies.
    - Sharing oversight reports related to duties performed individually and to similar oversight functions, where necessary, provided that this does not conflict with applicable laws, regulations, and instructions, and subject to the organisational competencies of each Supervisory Authority.
2. The Ministry and Supervisory Authorities may sign memoranda regarding areas of cooperation in supervisory activities, to ensure the effectiveness of oversight and the achievement of intended objectives, and to coordinate joint efforts in any specific supervisory area or activity for the purpose of implementing the activities referred to in the aforementioned paragraph.

Title 5 - Financial Controllers

Chapter 1 - General Provisions

Article 24

Financial Controllers shall meet all of the following conditions, provided that this does not conflict with applicable laws, regulations and instructions:

a- Being a Saudi national.

b- Passing all tests and personal interviews, prescribed by the Ministry, as required for the position.

c- Being medically fit to perform their duties, as evidenced by a medical certificate issued by one of the medical entities designated by the Ministry.

d- Passing the personal and employment data verification conducted by the relevant competent authorities prior to assuming duties in supervisory or sensitive positions.

e- Being of good reputation and not having been dismissed from any previous position for any reason involving breach of trust or dishonesty.

f- Not engaging in any activities that may give rise to an actual, potential, or perceived conflict of interest.

g- Not having been convicted by a final court judgment in a corruption case or any crime involving breach of trust or dishonesty.

h- Any other criteria specified by the Ministry.

Chapter 2 - Responsibilities and Rights of Financial Controllers

Article 25

Subject to applicable laws, regulations, and instructions, including the Code of Conduct and Ethics for Public Function, Financial Controllers shall, in the performance of their duties, comply with the following:

a- Perform their duties within the limits of the powers conferred upon them by Law.

b- Exercise due professional care and diligence.

c- Comply with the principles of transparency, equality, non-discrimination, and fairness.

d- Act with integrity and good conduct, and perform their duties and responsibilities in accordance with the highest standards of integrity, impartiality, and objectivity.

e- Comply with the provisions of the Law and its Implementing Regulation, as well as applicable laws, regulations, and instructions.

f- Maintain the confidentiality of information obtained in the course of performing their duties, and not use such information for any personal purpose or for any purpose other than work requirements, whether within or outside the Entity, even after the termination of their employment.

g- Ensure impartiality, void conflicts of interest, disclose any matter that may affect or impair the objective performance of their duties, and refrain from undertaking any activities that may compromise their independence in the review of such activities.

Article 26

1. Without prejudice to the provisions of the Law, Financial Controllers shall have access to all materials that may assist them in the performance of their duties, including:

   a- Documents, records, Information Systems, or any other materials.

   b- Reports issued by Supervisory Authorities.

   c- Reports issued by independent Entities, including but not limited to, reports issued by the certified accountant licensed to practise the profession, and reports issued by companies and consultancy bureaus.

2. Without prejudice to the provisions of the Law, in the event of any delay or failure by the Entity to cooperate in enabling Financial Controllers to perform their duties and access the documentation referred to in paragraph (1) of this Article, the agreed escalation mechanism shall be followed. In the event of the Entity's continued non-response, the necessary reports shall be issued, and any limitations affecting the functions of the Financial Controllers shall be identified, and the matter shall be referred to the competent authority within the Government Entity.

Article 27

1. For the purposes of this Regulation, confidential information shall include any documents or financial, administrative, or technical information relating to the Entity, its activities or interests, as well as any information not available to the public, or which, by its nature, content, or the circumstances of its acquisition, requires it to be treated as confidential.
2. Upon accessing confidential information within the Entity, Financial Controllers shall comply with the following controls:

   a- Such access shall be limited to what is necessary for the performance of their assigned Financial Oversight duties.

   b- They shall comply with any conditions and requirements set out in applicable laws, regulations, and instructions relating to the confidentiality and protection of information.

Chapter 3 - Rewards of Financial Controllers

Article 28

1. The Minister may grant an incentive reward to Financial Controllers whose performance of their duties contributes to the protection of State funds from imminent risk or financial waste, including but not limited, contributing to the recovery of financial amounts for the State Treasury, preventing unlawful disbursement of funds, or safeguarding the Government Entity from incurring high-cost financial liabilities prior to their occurrence, provided that such reward is granted in accordance with criteria approved by the Minister or his delegate.
2. The incentive reward granted to Financial Controllers shall not affect any rewards established by Law and prescribed by the Ministry for its employees or those prescribed under applicable laws and regulations. Such reward shall be disbursed to them in addition to any other financial benefits payable to them.

Title 6 - Violations and Penalties

Chapter 1 - General Provisions

Article 29

The Ministry shall notify the Entity's representative and follow the agreed escalation mechanism in the event of failure to implement Corrective Actions to address priority oversight observations. In the event of the Entity's non-response, the provisions of Article (25) of the Law shall apply.

Article 30

1. When preparing a report of the violation referred to in Article (23) of the Law, the Entity shall include a clear description of the violation, its time and place, the names of the Entity’s employees involved in such violation, as well as any other relevant information or documents, within the violation report.

2. The Entity shall notify the competent Minister, the senior officer within the Entity, or their delegate upon the preparation of a violation report.

Title 7 - Final Provisions

Article 31

1. The Financial Oversight agency within the Ministry shall prepare an annual consolidated report on its activities and submit it to the Minister for appropriate action, provided that the report includes the following elements:

    a- An executive summary of the key outcomes of departments' activities.

    b- A statement of the Entities subject to Financial Oversight, together with a summary of their classification in accordance with the applicable oversight methods and any changes from the previous report.

    c- A summary of the Oversight Controls and indicators for Entities transitioned to Internal Oversight, assessing the efficiency and effectiveness of Internal Control Systems and Information Systems with financial impact.

    d- A summary of the key observations arising from the analysis of data of Government Entities generated by Government Resource Systems, and from the testing of Oversight Controls associated with such Systems.

    e- An assessment of the extent of cooperation by Government Entities with Financial Controllers, together with recommendations regarding future areas of cooperation.

    f- The key common challenges across Entities, together with recommendations for addressing these challenges.

    g- Recommendations aimed at enhancing the efficiency and effectiveness of Internal Control Systems.

2. The Minister shall submit an annual report to the Prime Minister, including a summary of the Financial Oversight activities referred to in paragraph (1) of this Article.

Article 32

Procedural manuals, circulars, and standard forms shall be issued by decision of the Minister or his delegate, together with any plans, programmes, initiatives, or frameworks necessary for the implementation of this Regulation, provided that they are reviewed and updated, as necessary.

Article 33

This Regulation shall be published in the Official Gazette and shall enter into force from the date of enforcement of the Law. It shall be reviewed two (2) years after its implementation, or as necessary.